

HOUSE BILL 2182

By White

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 3; Title 4, Chapter 49; Section 9-16-101; Title 54, Chapter 4; Title 55, Chapter 4; Title 57, Chapter 5, Part 2; Title 57, Chapter 3, Part 3 and Title 67, relative to allocations to counties and municipalities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-103(a)(3)(G), is amended by adding the following language at the end of the subdivision:

In any year in which the revised population certification results in a reduction of the allocation of moneys to a county or municipality compared to the prior year's allocation, the department of revenue shall implement the reduction incrementally. The department shall limit the reduction in the first year of population loss or stagnation to twenty percent (20%) of the total projected loss resulting from the population decrease. In each subsequent, consecutive year of population loss or stagnation, the department shall increase the implemented reduction by an additional twenty percent (20%) of the then-current projected loss, until the allocation aligns fully with the certified population. If a jurisdiction's population increases during this period, then the department shall recalculate the base loss and adjust the phase-in accordingly.

SECTION 2. Tennessee Code Annotated, Section 4-3-710, is amended by adding the following as a new subsection (d):

(d) To ensure fiscal stability for local governments, the department of revenue and the department of finance and administration shall implement a transition period for any county or municipality experiencing a decrease in population-based funding due to the annual certifications required by this section. Such transition must limit the reduction

in distributed funds to twenty percent (20%) of the total year-over-year decrease in the first year of the loss, forty percent (40%) in the second year, and continue in twenty percent-increments until the distribution is commensurate with the certified population.

SECTION 3. Tennessee Code Annotated, Section 67-1-119, is amended by adding the following language at the end of the section:

The department of revenue shall apply a mitigation factor to any reduction in funding resulting from revised population certifications under § 4-3-710. The mitigation factor must ensure that no county or municipality realizes more than twenty percent (20%) of its total annual population-based revenue loss in the first year of such loss, with the remaining loss phased in over the subsequent four (4) years.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.